

Boom and bust

The instability of market economies, which alternate between “boom and bust,” is a major disadvantage, even if in the long term they provide economic growth. It’s the main reason given for government regulation of free markets.

Until recently, most economists believed that, even though there are ups and downs, market economies can keep growing and improving living standards. This idea was first put forward when populations were much smaller, and it seemed we could go on using more natural resources indefinitely. However, environmentalists have made us aware that we live in a world of finite resources, which can’t be replaced.

As economies grow, so we consume more resources. The supply of things we need to sustain growth is dwindling, and at the same time populations are increasing and demanding a better standard of living. In addition to becoming scarcer, our use of some resources, like fossil fuels such as oil, gas, and coal, is causing environmental problems that will have serious economic consequences. The continual improvement in our standard of living that we have enjoyed over the past two centuries cannot carry on, according to environmental economists. Instead of expecting continuous economic growth, we must achieve sustainable economies by reducing consumption and using renewable resources.